



US-India Deal Announcement: Tariff De-Escalation and Economic Rapprochement

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Overview

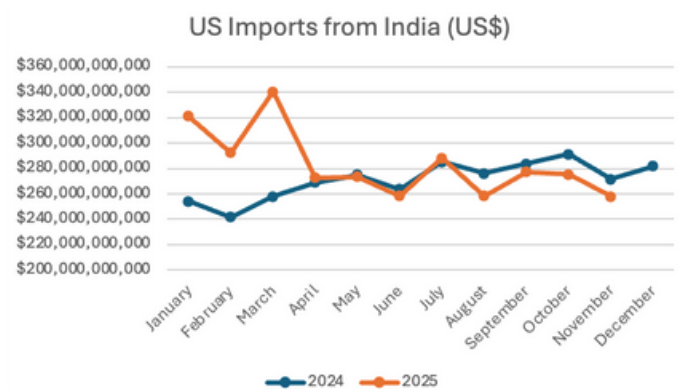
In a post on Truth Social on 2 February, President Trump announced that the US would reduce its tariff rate on imports of Indian goods from 50% to 18%. Previously, these had been subject to a 25% 'reciprocal' rate announced in April and an additional 25% rate imposed in August in response to Indian imports of Russian oil. In return, Trump said, India would 'reduce their Tariffs and Non-Tariff Barriers against the United States to ZERO (sic)'. He also added that Indian Prime Minister Modi had pledged to stop purchasing Russian oil and to buy over US\$500 billion in American energy, technological, and agricultural products, among others.

In a response posted on X on the same day, Modi welcomed the announcement, which, he said, 'unlocks immense opportunities for mutually beneficial cooperation.' However, the Prime Minister did not comment on whether he had committed to eliminate imports of Russian oil. He also did not comment on how India will reduce barriers to US imports, which currently include a 30% tariff on agricultural and related products as well as regulatory obstacles such as a ban on genetically modified crops.

Given this lack of specificity and the discrepancy between Trump's claims and Modi's response, it is impossible to anticipate exactly how the developing agreement will impact both economies. However, the exchange should still be read as a political signal suggesting trade barriers between the two nations will likely decrease and trade volumes increase.

Economic Context

US-India trade remained robust in 2025, despite tariffs. According to the US Census Bureau, US imports from India from January to November 2025 (December figures have been delayed by government shutdowns) stood at US\$95.5 billion, already higher than the 2024 total of US\$87.3 billion. This likely reflects the fact that a rate of 25% was no higher than the rate faced by other countries, so Indian exporters faced no comparative disadvantage in terms of access to the US market.



Source: open source USITC data.

The additional rate imposed in August lifted the rate on Indian goods above those faced by other countries, dampening overall import volumes. Sectors with thin margins facing global competition were severely affected. For example, imports of precious metals and jewellery from India stood at US\$86.7 million in September, down over 90% year-on-year, according to the US International Trade Commission. This was likely a product of the comparatively low rate (15%) faced by European exporters, the second biggest source of imported jewellery in the US.

Political Context

The announcement comes in the context of multifaceted US-India relations. Following the August tariff hike, India deepened dialogue with China and Russia. In the same month, Modi travelled to China for the first time since relations soured after a border clash in 2020. In December, Modi and Putin met in Delhi and reaffirmed their 'special and privileged strategic partnership'.

At the same time, India in November finalized its first ever structured US Liquefied Petroleum Gas (LPG) deal, through which it will import around 2.2 million tons of LPG from the US in 2026, accounting for around 10% of annual LPG imports. In the same month, the US State Department approved the sale of US\$47.1 million worth of Excalibur Projectiles and US \$45.7 million worth of Javelin Missile Systems. India also continued its participation in the annual Malabar naval exercise alongside Australia, Japan, and the US.

Business Implications

- **Export-dependent Indian industries (fish, textiles, clothing, precious metals):** Apart from precious metals and jewellery, which have been exported in significantly lower volumes since May 2025, most significant export industries in India were unaffected by the 25% 'reciprocal' rate. For example, according to the USITC, US-bound exports of unknitted clothing stood at US\$195.8 million in August, up from US\$172.9 million in August 2024. After the imposition of the additional rate, this category of exports slumped to US\$171.3 million in September, down from US\$191.3 million in September 2024.
- As such, a reduced rate of 18% will likely be a boon to Indian exporters in these industries and reduce prices for American consumers. Exporters of jewellery and precious metals will also benefit, given that trade volumes initially diminished by 'reciprocal' tariffs were decreased even further by the additional 25% rate.
- **US agricultural exporters:** The Indian market for agricultural and related imports has grown quickly since 2019. In that year, India imported US\$24.5 billion of these products, rising to US\$37 billion in 2023. Concurrently, the US share of these imports has stagnated, standing at US\$2.2 billion in 2019 and falling to US\$1.8 billion in 2023. Reducing trade barriers for US agricultural exporters should increase their market share.
- However, despite growth, India remains a small market for agricultural products relative to its population: China imported US\$262.7 billion worth of these in 2023. Moreover, the agriculture industry is politically and economically powerful in India, which may limit the extent of deregulation and tariff decreases, as implied by Modi's lack of specificity in his response to Trump. As such, increased access to the Indian market will not significantly mitigate the risk to US agricultural exporters posed by trade tensions with China.
- **US and Middle Eastern oil exporters:** An influx of cheap Russian oil following the invasion of Ukraine in 2022 has crowded out oil from the US and Middle East. According to the US Energy Information Administration, India imported just under 100,000 b/d (barrels per day) from Russia in 2021, rising to 740,000 b/d in 2022 and to 1.8 million b/d in 2023. In parallel, the volume of oil which India imported from the Middle East decreased by nearly 600,000 b/d from 2022 to 2023, with imports from the US slumping by 95,000 b/d in the same period.
- Should Modi reduce Russia's share of India's oil imports, Middle Eastern and American oil exporters would be able to increase their market share of the world's second-largest net importer of crude oil and condensate. India imported 4.5 million b/d in 2023, of which 39% came from Russia, 43% from the Middle East, and only 4% from the US.